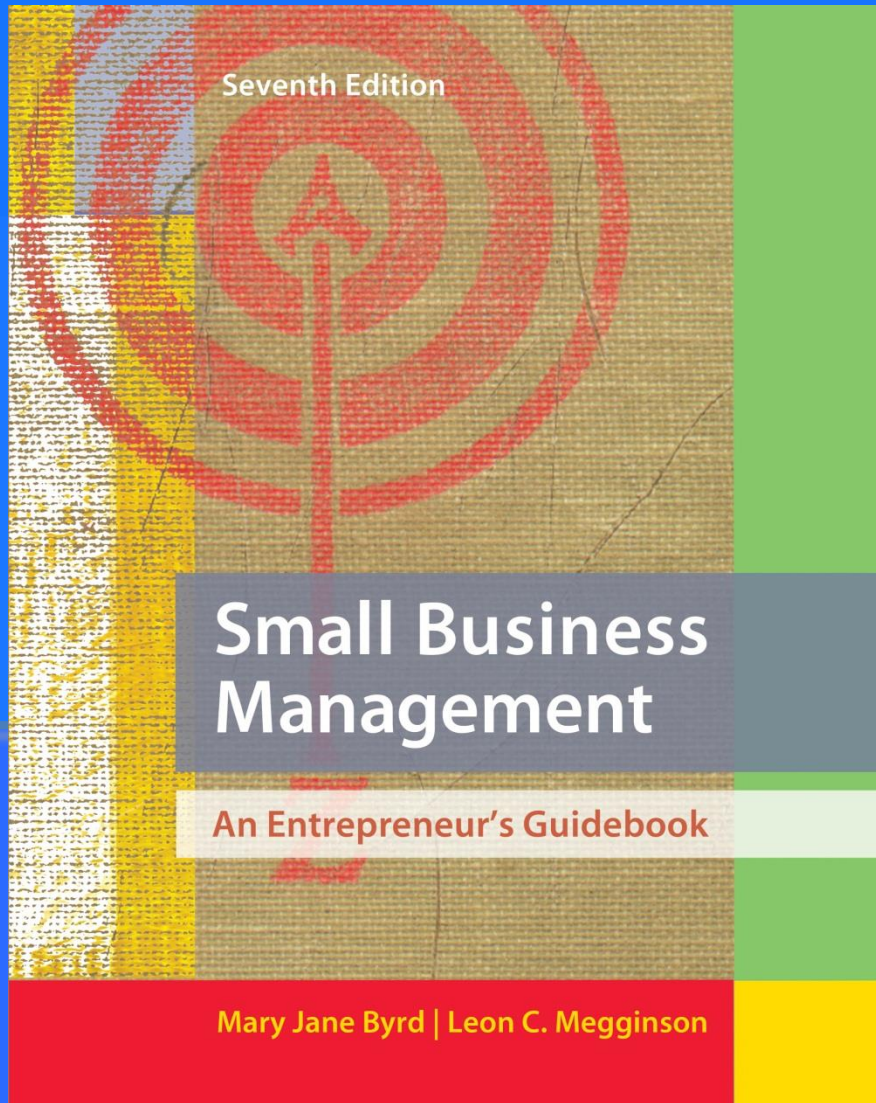




Forms of Ownership of Small Businesses

TOPIC 5 Chapter Three

Learning Objectives

1. Name the legal forms of ownership a small business can have.
2. Explain the reasons for and against forming a proprietorship.
3. Explain the reasons for and against forming a partnership.
4. Explain the reasons for and against forming a corporation.
5. Discuss some other legal forms a business can take.

Factors to Consider in Choosing the Proper Legal Form

- ★ Your vision regarding the size of your business.
- ★ The nature of your business.
- ★ The level of control you desire.
- ★ The level of structure desired.
- ★ Business vulnerability to lawsuits.

Factors to Consider in Choosing the Proper Legal Form

- ★ Tax implications of different ownership structures.
- ★ Expected profit (or loss).
- ★ Earnings reinvestment.
- ★ Personal cash needs.

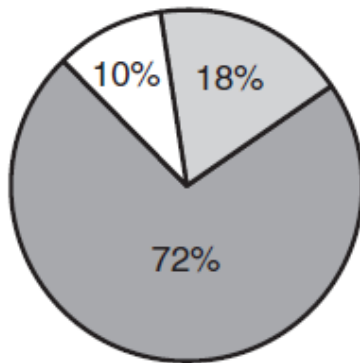
↳ www.sba.gov



Relative Position of U.S. Proprietorships, Partnerships, and Corporations

Figure 3.1

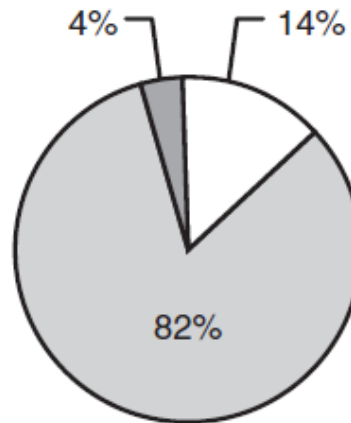
A. Proprietorships are the most numerous.



Distribution by
total number

□ Partnerships

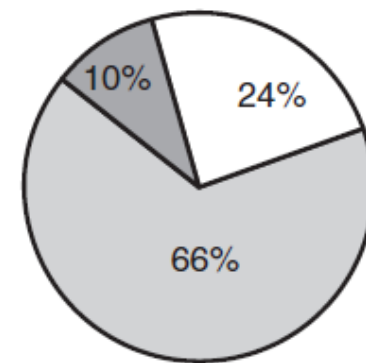
B. Corporations produce the most revenue.



Distribution by
revenues

■ Corporations

C. Proprietorships *appear* more profitable.



Distribution by
profits

■ Proprietorships

Relative Importance of Each Form

- ★ **Proprietorships** appear to be the most profitable form and received 10 percent of profits on only about 4 percent of revenues.
- ★ **Partnerships** accounted for 6 percent of revenues and 24 percent of profits.
- ★ **Corporations** received only 66 percent of the profits on about 82 percent of the sales

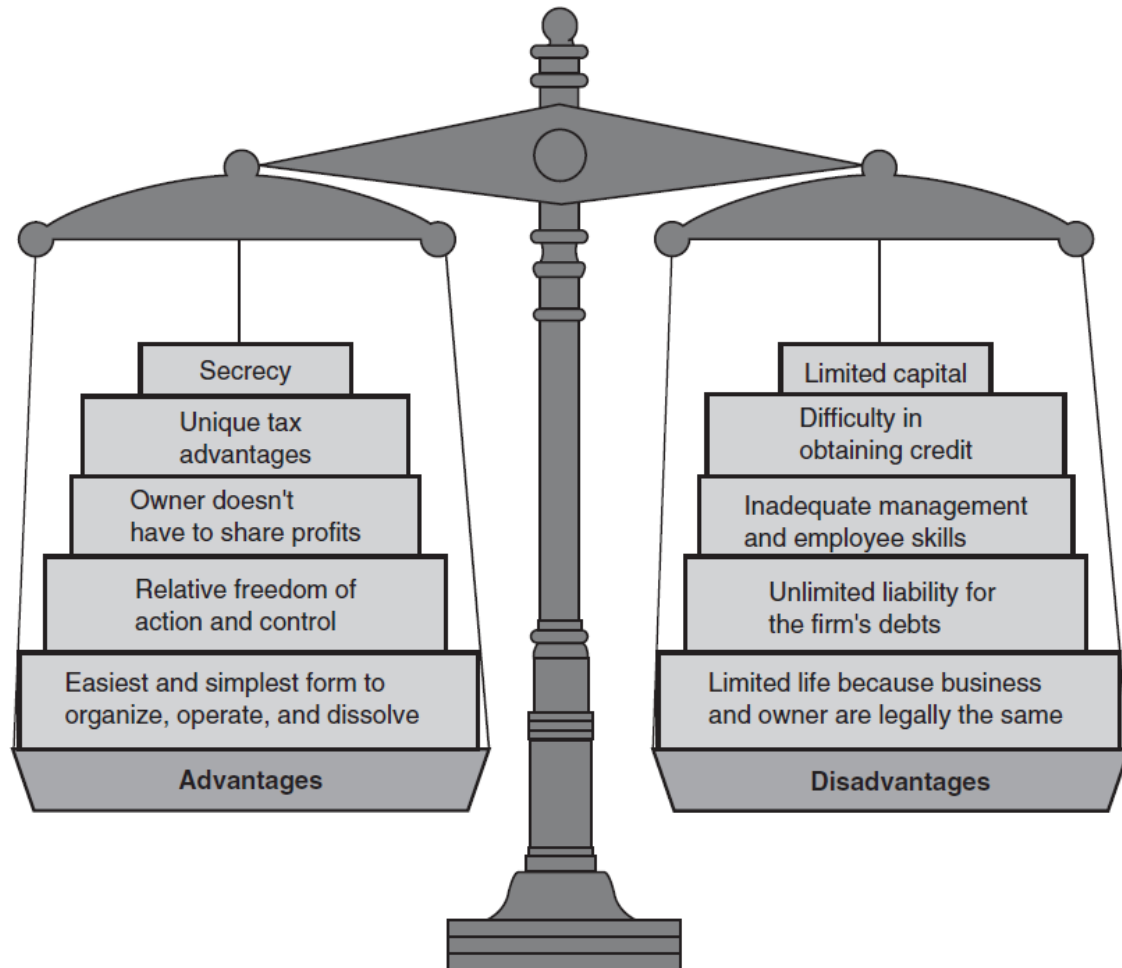
Why Form a Proprietorship?

★ **Proprietorship**

- ↳ business that is owned by one person
- ↳ preferred because it is simple to enter, operate, and terminate and provides for relative freedom of action and control

Weighing the Advantages and Disadvantages of a Proprietorship

Figure 3.2



Why Form a Partnership?

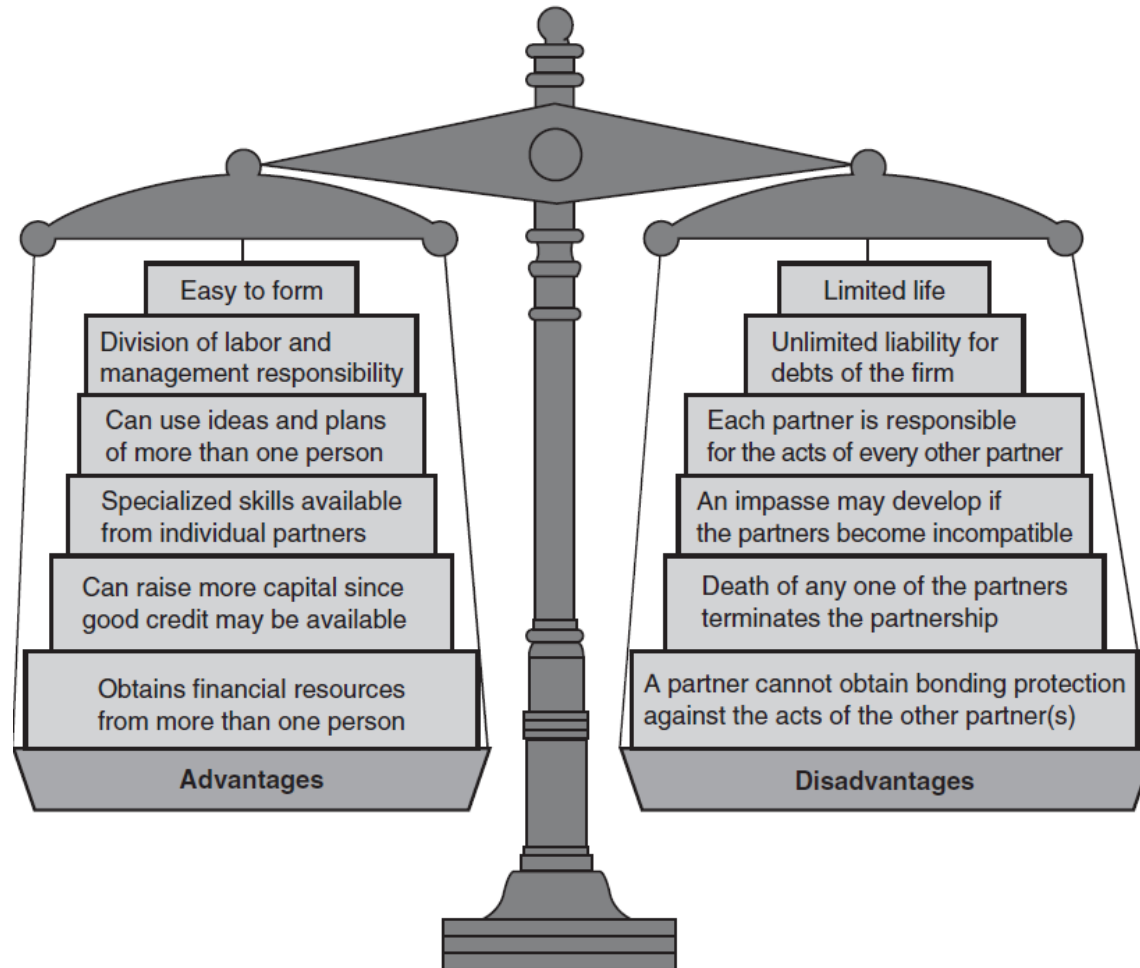
★ Partnership

↳ A business owned by two or more persons who have unlimited liability for its debts and obligations.



Weighing the Advantages and Disadvantages of a Partnership

Figure 3.3



Types of Partnerships

★ **General partnership,**

- ↳ each partner actively participates as an equal in managing the business and being liable for the acts of other partners.

Types of Partnerships

★ **Limited partnership,**

- ↳ one or more general partners conduct the business, while one or more limited partners contribute capital but do not participate in management and are not held liable for debts of the general partners.

Rights of Partners

★ **Articles of copartnership**

- ↳ drawn up during the pre-operating period to show rights, duties, and responsibilities of each partner.

Why Form a Corporation?

★ Corporation

↳ A business formed and owned by a group of people, called stockholders, given special rights, privileges, and limited liabilities by law.



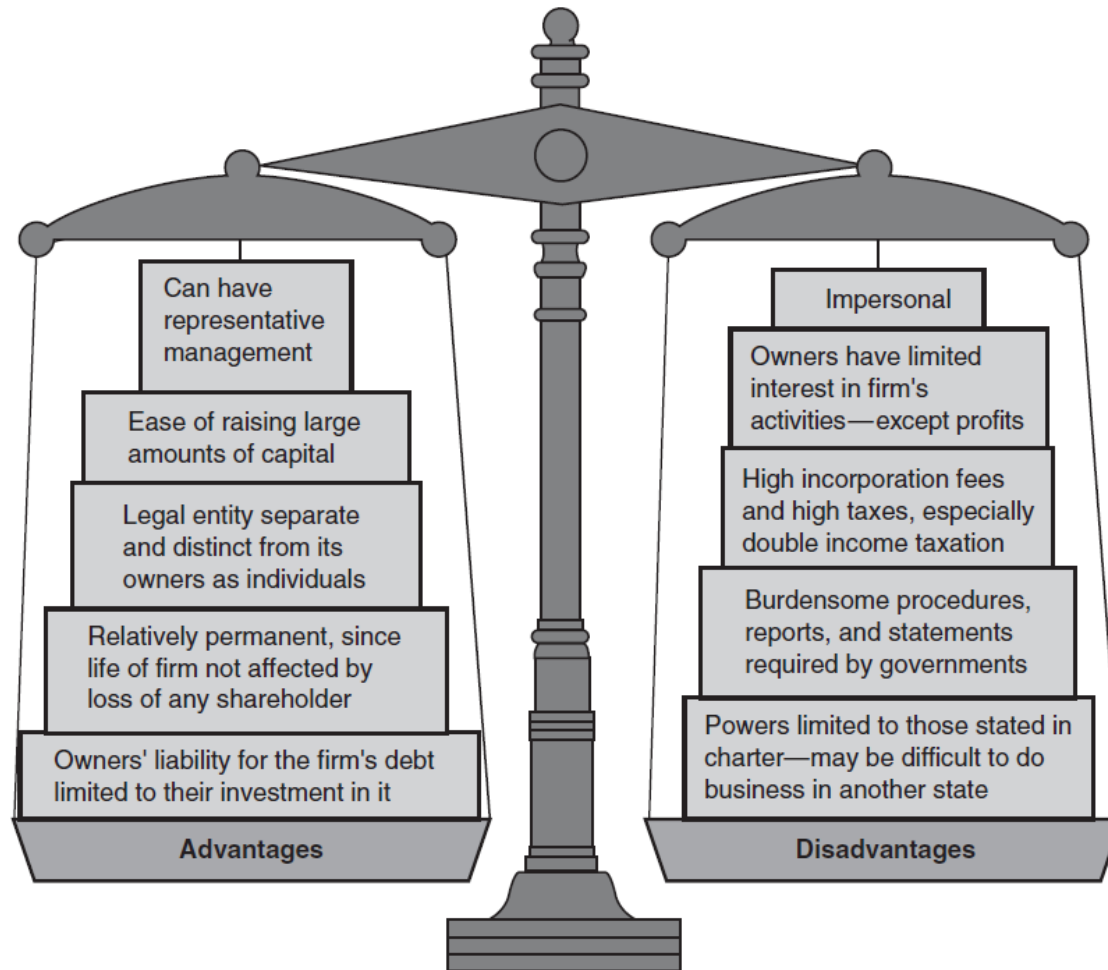
Why Form a Corporation?

★ **C corporation**

- ↳ A regular corporation that provides the protection of limited liability for shareholders, but its earnings are taxed at both the corporate and shareholder levels.

Weighing the Advantages and Disadvantages of a Corporation

Figure 3.4



How to Form a Corporation

★ Articles of incorporation

↳ instrument by which a corporation is formed under the corporation laws of a given state



Articles of Incorporation

Corporation's
name

Names of the
organizers

Stock or no
stock

Organization
"will"

Purpose

Profit or not-
for-profit

Stock
authorization

Initial board
members,

Initial
directors

Home office
location

How to Form a Corporation

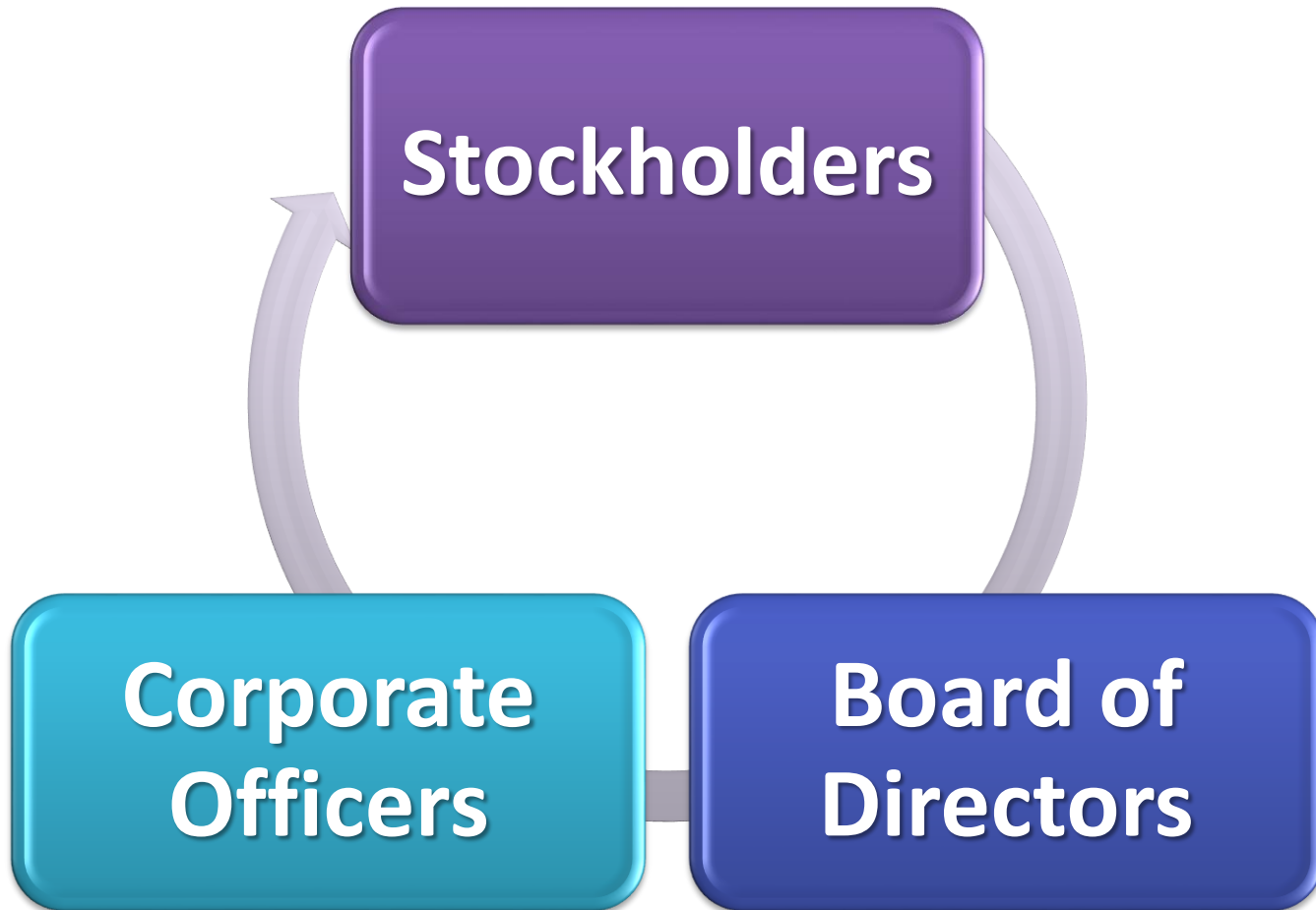
★ **Corporate charter**

↳ states what the business can do and provides other organizational and financial information.

★ **Buy-sell agreement**

↳ explains how stockholders can buy out each other's interest.

How a Corporation Is Governed



The S Corporation

★ S corporation

- ↳ special type of corporation that is exempt from multiple taxation and excessive paperwork
- ↳ can issue only one class of stock—common
- ↳ all shareholders must be individuals, estates, or some type of personal trust

Other Forms of Business

★ **Limited-liability company (LLC)**

- ↳ combines the advantages of a corporation, such as liability protection, with the benefits of a partnership, such as tax advantages

★ **Limited liability partnership (LLP)**

- ↳ organized to protect individual partners from personal liability for the negligent acts of other partners or employees

Other Forms of Business

★ **Professional service corporation (PSC)**

- ↳ Must be organized for the sole purpose of providing a professional service for which each shareholder is licensed.

★ **Nonprofit corporation**

- ↳ formed for civic, educational, charitable, and religious purposes

Other Forms of Business

★ Cooperative

- ↳ A business owned by and operated for the benefit of patrons using its services
- ↳ usually associated with purchasing, selling, and financing farm products



Other Forms of Business

★ **Joint venture**

- ↳ a form of temporary partnership whereby two or more firms join in a single endeavor to make a profit
- ↳ usually an option where neither party can achieve its purpose alone

Fractional Ownership

★ Fractional ownership

↳ defined as a percentage share of an expensive asset

★ Usually the owners employ a management company to oversee the usage of the asset.

Checklist for Evaluating Legal Forms of Organization

Figure 3.5

- Under what legal form of organization is the firm now operating?
- What are the major risks to which the firm is subjected?
- Does the legal form of organization give the proper protection against these risks?
- Does the firm supplement its legal form of protection with public liability insurance?
- Is unlimited liability a serious potential problem?
- Has the present form limited financial needs in any way?
- What is the relative incidence of the firm's major risks?
- Are there tax advantages available by changing the legal form of organization?
- Have you considered the management advantages of alternative legal forms?
- Are you aware of the features of a Subchapter S corporation? Would they be beneficial?
- Is the company using all the advantages of the present legal form of organization?